Report

Ledgerline — One-Page Investment Memo

Q's written answer to "Write me a one-page memo on Ledgerline", as given in the conversation. It is Q's reading of what Capital Q holds, not verified fact.

Version 1 · 4 November 2026

Overview

Ledgerline is a Lagos-based seed company providing VAT compliance software for Nigerian small and medium-sized businesses. It connects to existing invoicing and accounting tools, validates invoices as they are created, and prepares and files monthly VAT returns. The company positions the product around the FIRS e-invoicing rollout and the cost and error risk of spreadsheet-based compliance workflows.

Product and market

The product checks TIN, VAT treatment, invoice sequence and totals, then uses validated data to prepare the monthly return. Ledgerline reports a target market of 420,000 VAT-filing businesses, with a serviceable market of 140,000 digitally invoicing businesses in Lagos, Abuja and Port Harcourt. These market figures are company estimates and are not independently verified.

The stated competitive set includes Sage, QuickBooks Online and Zoho Books, which Ledgerline says do not file Nigerian VAT returns, alongside traditional tax consultants. Its proposed differentiation is validation at the point of invoice creation combined with filing, delivered as software. The deck does not establish a quantified customer outcome, product implementation stage or defensible barrier to copying.

Business model and traction

Ledgerline charges monthly per-entity subscriptions: ₦18,000 for Starter, ₦42,000 for Growth and ₦12,500 per client entity for its Accountant plan. It reports blended revenue of approximately ₦33,300 per business per month and a 78% gross margin.

As of September 2026, the company reports 1,140 paying businesses, up from 590 in September 2025, ₦38m in monthly recurring revenue, approximately ₦456m annualised MRR, 96% six-month logo retention and 96,000 invoices validated. Reported MRR increased from ₦19.6m in October 2025 to ₦38m in September 2026. These are company-reported figures; the separate figures read from the company's records did not provide independently verified financial data.

Customer acquisition is described as coming through accountant and tax-practitioner referrals, integrations inside existing accounting tools and direct sales to multi-entity groups.

Referrals reportedly represent about 40% of new entities, while customer acquisition cost, expansion revenue and detailed unit economics are not established.

Team

Tobenna Okafor, co-founder and CEO, is described as a chartered accountant with seven years as a tax manager in Lagos. Funmilayo Adebayo, co-founder and CTO, previously built payment ledgers at a Lagos fintech. The company reports 26 employees across engineering, customer success, sales and partnerships, and operations. It plans to hire a head of finance and two integration engineers. The founders' technical depth, execution history and ability to navigate FIRS integrations require further diligence.

Financial position and financing

The deck reports $410,000 of cash as of September 30, 2026, current monthly net burn of approximately $39,000, planned post-raise burn near $85,000 and a break-even target of Q3 2028. It contains conflicting current-runway figures of 10.5 months and five months, so runway should not be relied upon until reconciled.

Ledgerline is seeking $1.8m through a post-money SAFE at a $14m valuation cap, with a $50,000 minimum cheque. The proposed use of funds is 35% engineering and FIRS integration, 30% sales and partner channels, 20% customer success and 15% compliance reserve and working capital. The deck does not establish committed investors or round milestones.

Key diligence questions

- Can Ledgerline provide bank- or accounting-supported evidence for MRR, customer count, retention and gross margin?
- What are logo and revenue retention by cohort, customer concentration and the split between direct and accountant-led customers?
- What measurable reduction in penalties, filing errors or compliance cost do customers achieve?
- How defensible are the integrations, data, workflow and regulatory relationships?
- Which runway figure is correct, and how does the planned burn support the stated milestones?

Preliminary view

Ledgerline presents a clear regulatory workflow problem, a recurring subscription model and reported early commercial traction with high six-month logo retention. The central open questions are verification of the operating metrics, evidence of customer outcomes and defensibility, and reconciliation of the financing and runway assumptions. Those points should be resolved before relying on the growth projections or financing case.